

I have reached back to the Depression era for two examples based on my own experiences. I could cite others from that period and from subsequent ones. Some stocks I own today are worth more than 100 times what I originally paid for them. But many other investors have had even greater successes. More examples would serve only to further underscore the same basic truth, one that every investor and would-be investor would do well to paste in his hat:

Sound stocks, purchased for investment when

their prices are low and held for the long

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pull, are very likely to produce high profits

through dividends and increases in value.

This is a self-evident "secret" of successful investment that vast numbers of people disregard. There are other not-so-secret secrets that investors would do well to learn and consider as inflexible rules in their stock market dealings.

Highly important among them is the axiom that no one should ever buy a stock without knowing as much as possible about the company that issues it. In more cases than legitimate brokers would care to count, such so-called investors have insisted on buying large numbers of shares in companies without having the foggiest notion of what those companies do or produce.

As I see it, the average person should consider the purchase of common stock as the investment of surplus capital for the purpose of earning an annual return on that capital and of eventually increasing the capital as much as possible.

The average individual begins "investing" by opening a savings account or by buying insurance or annuities. He usually graduates to buying Government bonds. Later, when he is more experienced and sure of